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SULIMAN S. OLAYAN SCHOOL
OF BUSINESS





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FUNDAMENTALS OF MANAGEMENT AND ORGANIZATIONAL BEHAVIOR

Week 5 – Making Decisions

MNT 215 – Summer 2026

Suliman S. Olayan School of Business | American University of Beirut





BE A BETTER DECISION MAKER

A key to success in management and in your career is knowing how to be an effective decision maker.

Managers at all levels and in every organizational unit are required to make decisions.

Our focus in this chapter is on how managers make decisions.



WHAT IS A DECISION?

Decision—a conclusion or resolution made after considering alternatives



THE DECISION-MAKING PROCESS

There are eight steps in the decision-making process:

1. Identifying a problem
2. Identifying decision criteria
3. Allocating weights to the criteria
4. Developing alternatives
5. Analyzing alternatives
6. Selecting an alternative
7. Implementing the alternative
8. Evaluating decision effectiveness



RATIONALITY

- **Rational decision making:** choices that are logical and consistent and maximize value

- **Assumptions of rationality:**
 - Rational decision maker is logical and objective
 - Problem faced is clear and unambiguous
 - Decision maker would have a clear, specific goal and be aware of all alternatives and consequences
 - The alternative that maximizes achieving this goal will be selected
 - Decisions are made in the best interest of the organization



BOUNDED RATIONALITY

- **Bounded rationality:** decision making that's rational, but limited by an individual's ability to process information
- **Satisfice:** accepting solutions that are “good enough”

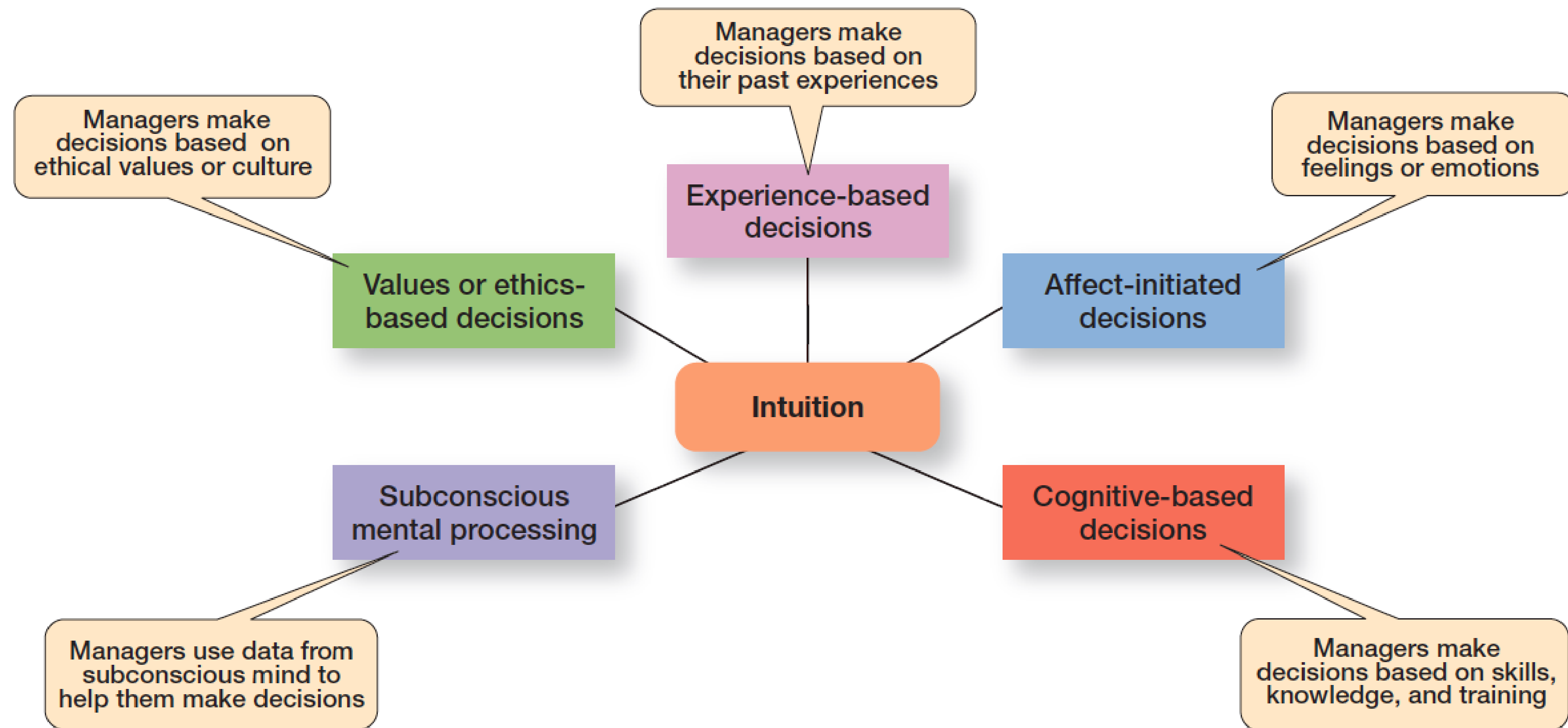


INTUITION

- **Intuitive decision making:** making decisions on the basis of experience, feelings, and accumulated judgment



EXHIBIT 3-5 WHAT IS INTUITION?





EVIDENCE-BASED MANAGEMENT

Evidence-based management (E B Mgt): the systematic use of the best available evidence to improve management practice

There are four essentials to EBMgt:

1. The decision maker's expertise and judgment
2. External evidence that's been evaluated by the decision maker
3. Opinions, preferences, and values of those who have a stake in the decision
4. Relevant organizational (internal) factors such as context, circumstances, and organizational members



TYPES OF DECISIONS: STRUCTURED PROBLEMS AND PROGRAMMED DECISIONS

- **Structured problems:** straightforward, familiar, and easily defined problems
- **Programmed decisions:** repetitive decisions that can be handled by a routine approach



TYPES OF PROGRAMMED DECISIONS

- **Procedure:** a series of sequential steps used to respond to a well-structured problem
- **Rule:** an explicit statement that tells managers what can or cannot be done
- **Policy:** a guideline for making decisions



TYPES OF DECISIONS: UNSTRUCTURED PROBLEMS AND NONPROGRAMMED DECISIONS

- **Unstructured problems:** problems that are new or unusual and for which information is ambiguous or incomplete
- **Nonprogrammed decisions:** unique and nonrecurring and involve custom-made solutions



PROGRAMMED VERSUS NONPROGRAMMED DECISIONS

Characteristic	Programmed Decisions	Nonprogrammed Decisions
Type of problem	Structured	Unstructured
Managerial level	Lower levels	Upper levels
Frequency	Repetitive, routine	New, unusual
Information	Readily available	Ambiguous or incomplete
Goals	Clear, specific	Vague
Time frame for solution	Short	Relatively long
Solution relies on...	Procedures, rules, policies	Judgment and creativity

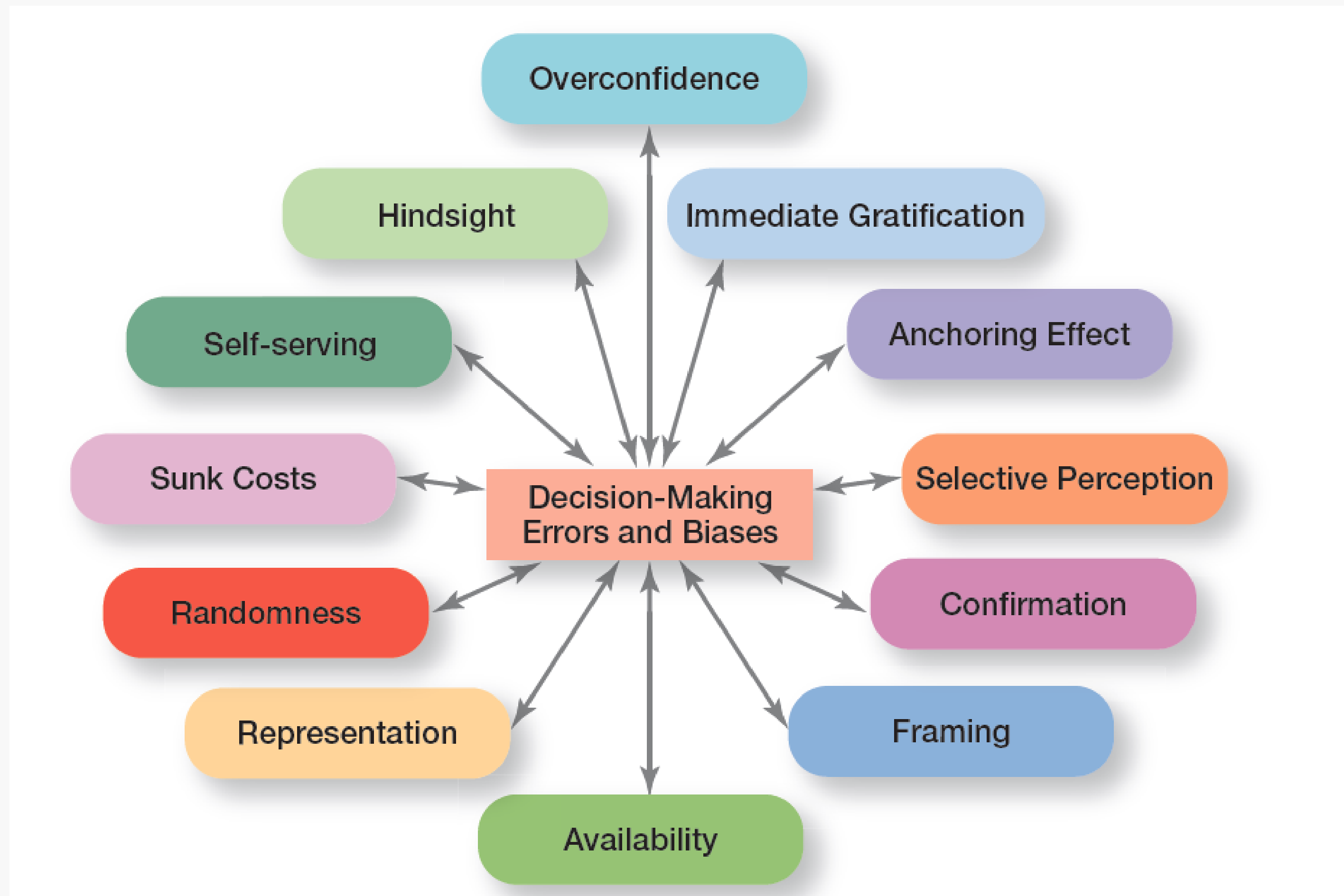


HEURISTICS

- **Heuristics** or “rules of thumb” can help make sense of complex, uncertain, or ambiguous information.
- However, they can also lead to errors and biases in processing and evaluating information.



EXHIBIT 3-8 COMMON DECISION-MAKING BIASES



GROUP DECISION-MAKING (DM) AND ITS ADVANTAGES

- More complete information and knowledge
- Greater number of perspectives, different experiences
- Intellectual stimulation through group discussion

Implication: Decision is more fully informed and of higher quality

- People understand the rationale so have higher acceptance: buy-in
- Higher level commitment

Implication: Increased chance of successful implementation

POTENTIAL DOWNSIDES OF GROUP DM

- **Domination:** Only loud people are heard, and they do not necessarily have the most valid opinions
- **Time consuming:** Requires coordinating diverse perspectives, reaching consensus, and resolving potential conflicts among members
- **Conformity pressures:** There is pressure to conform to the group's majority view
- **Ambiguous responsibility:** Accountability may be diffused among members, making it unclear who is ultimately responsible for the decision
- **Satisficing:** Rather than maximising or optimising

GROUP COMPOSITION (1/2)

Decision will be affected by the composition of the group :

- The team may be loaded for political reasons
- Some may be busy or unavailable
- Some may drop out over time and be replaced with less optimal ones
- Some may be there with a bad attitude, or a vested interest

GROUP COMPOSITION (2/2)

- Individuals may be good, but the group is weak
- Beware of situations where a senior executive seeks to influence a decision
 - by appointing « their person » to the team
 - by signaling their preference by starting to « implement » the decision

GROUPTHINK

Is “a mode of thinking that people engage in when they are deeply involved in a cohesive group, when the members’ strivings for unanimity override their motivation to realistically appraise alternative courses of action”

Why?

- Members of any small cohesive group are motivated to maintain esprit de corps
- They do so by “unconsciously developing a number of shared illusions and related norms that interfere with critical thinking and reality testing”

ANTECEDENTS OF GROUPTHINK

- High cohesiveness
- Structural factors

Insulated group, partisan leadership, no procedural protocols, ideological homogeneity

- Contextual factors

External pressure, members under stress, lack of optimism, low self-esteem

DM CHARACTERISTICS OF GROUPTHINK

- Limited consideration of options
- Limited consideration of goals
- Limited cost-benefit appraisal
- Limited use of expert knowledge
- Undue attention to facts that support ingroup choice
- Limited reappraisal of options
- Lack of contingency plans

SYMPTOMS OF GROUPTHINK* (1/4)

Overestimation of group worth

- Illusion of invulnerability

Members of the group ignore obvious danger, are overly optimistic and are willing to take extraordinary risks

- Sense of moral superiority-seeing the other as the bad guy

Members of the group believe their decisions are morally correct and ignore any ethical consequences of their decisions

SYMPTOMS OF GROUPTHINK* (2/4)

Closed-mindedness

- Collective Rationalization

Members of the group develop rationalizations to explain away any warning that is contrary to the group's thinking

- Excessive stereotyping and out-of-date perceptions

Members of the group construct negative stereotypes for rivals outside the group

SYMPTOMS OF GROUPTHINK* (3/4)

Pressures towards uniformity

- Self-censorship

Members of the group withhold dissenting views, keep silent about their misgivings and minimize the importance of their doubts

- Pressure to conform

Members of the group apply pressure to anyone in the group who expresses any doubt about the group's illusions, stereotypes, decisions or rationales

SYMPTOMS OF GROUPTHINK* (4/4)

Pressures towards uniformity

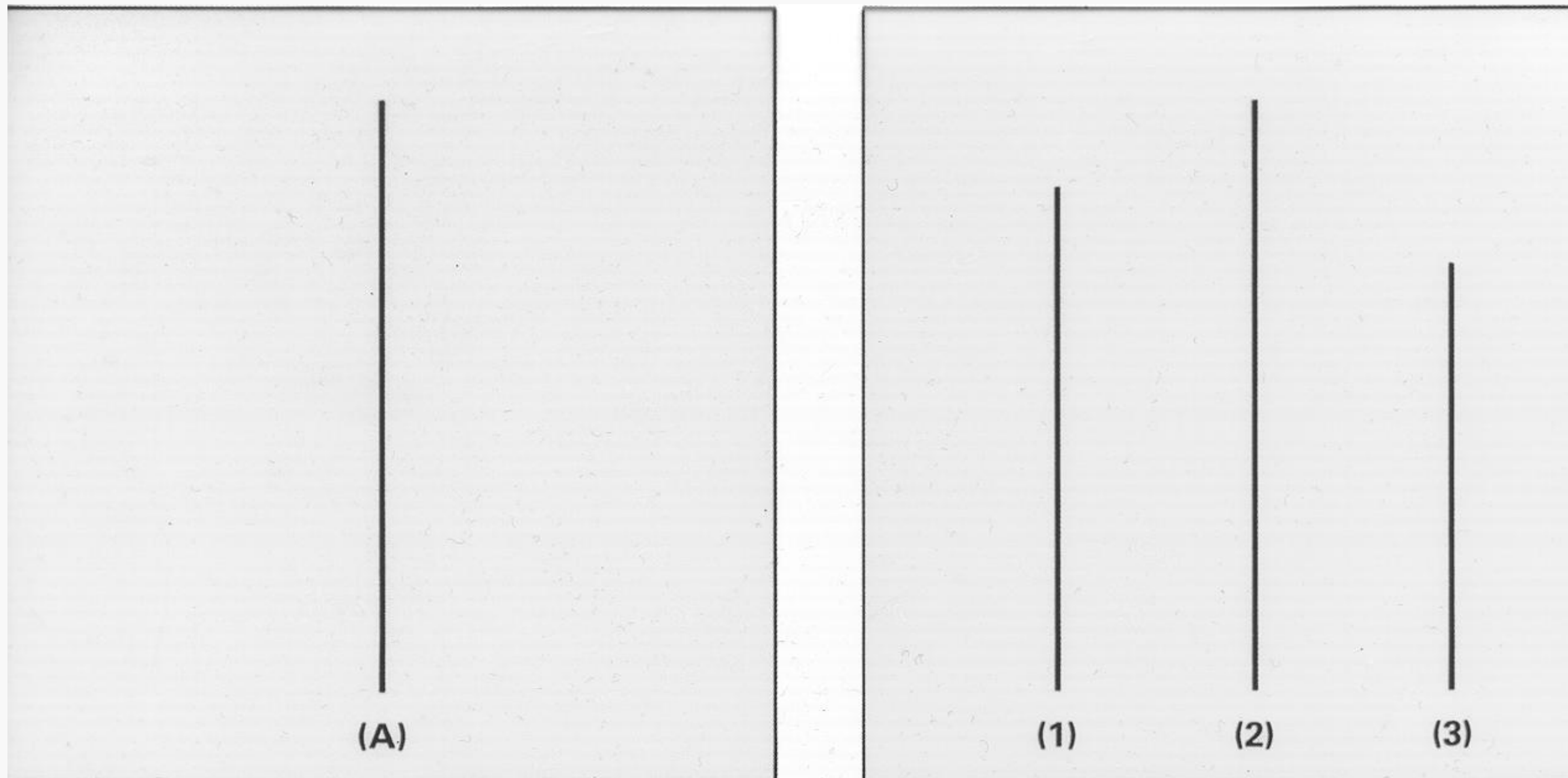
- An illusion of unanimity

Members of the group falsely perceive that everyone agrees with the group's decision

- Mind guards

Some members of the group appoint themselves to the role of group protector from adverse information that might threaten group complacency

ASCH EXPERIMENT (1951-6) – LINE JUDGMENT TASK



HERD MENTALITY

- About **75%** of participants conformed at least once, even when they knew the group's answer was wrong.
 - On average, **participants conformed about 32% of the time.**
 - When tested alone (without group pressure), participants answered correctly over 99% of the time.
- The human tendency to conform is understandable: Individual survival depended on the group working together
 - We are social beings, and we care deeply about what others think
 - Even if the others are strangers, even if we are anonymous, even if it costs us nothing to disagree, we want to agree with the group

MANAGING GROUPS – SUGGESTIONS* (1/2)

We should manage the group decision-making process

- Where possible avoid having sharp divisions of status
- Draw out quiet members (in or outside of meetings)
- Dissuade leader from doing most of the talking
- Have group members write down their ideas and publicize them anonymously before speaking to avoid anchoring and ego threatening

MANAGING GROUPS – SUGGESTIONS* (2/2)

We should manage the group decision-making process

- Have someone (with credibility) play role of “devil’s advocate”
- Create parallel groups to work on a problem; or have different groups analyze different options in depth (e.g., Turnaround strategy vs. Divestment)
- Refresh “stale” groups where routine and predictability reign
- Introduce outsiders to a group

Slides partly adapted from Robbins, S. P., Coulter, M. A. & Long, L. K. (2024). *Management* (16th Global Edition). Pearson

THANK YOU



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